

Regional airlines have been slowly building their teams of captains and logistics support to end dependence on foreign pilots and overseas training.

“We started with a lot of foreign pilots coming in, but we are now seeing a lot of Indian pilots also getting trained. In order to support our 50-fleet dream, we will require anywhere more than 500 to 600 pilots in total, which will be almost five times our cur-

THE SURVIVAL

Financing assets and acquisition of planes will also not be easy.

Chacko says the biggest challenge today is that the banking and financial system in India still does not appreciate that an aircraft in an asset and buying aircraft is not a smart option.

“The day we have banks in India supporting asset purchases, giving good loans to asset values, the game will change. The Irish

tightening leasing norms, making it difficult for new airlines to find aircraft. According to reports, the newly announced Alhind, Air Kerala and Shankh haven’t been able to aircraft.

For regional airlines, UDAN has been a game-changer. It ensured operationalisation of smaller airports in cities by providing financial support to airlines.

Godhawat says a lot of airports are being built, but a shortage of critical manpower required to operate these aircraft is biting. Bringing aviation fuel under the Goods and Services Tax is a long-pending demand of aviation companies, which say it will reduce cost.

Post-UDAN survivability is another red flag. Airlines may be forced to shut operations if the routes on which they operate prove to be unviable without government subsidies. The government is working to extend the UDAN Scheme for another 10 years beyond 2026 to continue its push for regional connectivity.

“Almost 60% of the routes even post-UDAN continue to work today without any assistance and we are profitable on those segments as well,” says Ghodawat.

Fly91 says its business plan was never purely on viability gap funding, although it is helpful because it supports the cost structure, but the airline’s long-term aim is to be able to fly on its own.

“A lot of the successful regional sectors, such as Solapur, Kolhapur, Manali and Leh, were built when there was no UDAN. These flights made good money. We aim to build every sector that we start to be able to stand without UDAN,” says Chacko. **BT**

ONE OF THE CHALLENGES IS AVAILABILITY OF TRAINED PILOTS AND SUPPLY CHAIN SHORTAGE. FINANCING ASSETS AND ACQUISITION OF PLANES WILL ALSO NOT BE EASY

rent strength at this point,” says Ghodawat.

Growth of regional players will also depend on availability of aircraft given the sizeable order backlog from suppliers. Star Air agrees that maintaining its existing fleet and adding new aircraft portends to be a challenge.

Fly91 sees no challenge in accessing the number of ATR aircraft and is set to get two brand new aircraft from lessors. On the supply chain side, it is trying to cope.

“We started to build out our own pilot pool. Today. We have 51 pilots with Fly91, out of which 24 are captains. I only have three foreign pilots with me. We have three aircraft examiners, about five check pilots and three synthetic instructors. We have a better training infrastructure than a lot of mid-sized airlines,” he adds.

leasing business will literally come to a grinding halt because 1,500 aircraft are on order in India. We got a brilliant Gift City put up and hope that the finance ministry solves this problem faster,” he says.

Ireland is the global leader in aircraft leasing and financing, managing 60% of the d aircraft. To ensure that India has more India registered d aircraft, the government is planning to extend the tax holiday on profits earned by aircraft leasing firms in Gift City in Gujarat, its newest finance hub, to 15 years from the present 10 years.

Indian aviation is riddled with instances where airlines went out of business and lessors had to fight a long legal battle to regain control over their aircraft.

This has led to global lessors

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